Note 9 – Income Taxes

No provisions were made for income taxes for the years ended December 31, 2012 and 2011 as the Company had cumulative operating losses. For the years ended December 31, 2012 and 2011, the Company incurred net losses for tax purposes of $5,849,322 and $2,330,505, respectively. The income tax expense (benefit) differs from the amount computed by applying the United States Statutory corporate income tax rate as follows:

	December 31,	
	2012	**2011**
Deferred income tax assets:		
Net operating loss carry forwards	$ 6,693,900	$ 4,705,130
Valuation allowance	(6,693,900)	(4,705,130)
Net deferred income tax assets	$ –	$ –

Note 9 – Income Taxes (Continued)

The Company has established a full valuation allowance on its deferred tax asset because of a lack of sufficient positive evidence to support its realization. The valuation allowance increased by $1,988,770 and $792,310 for the years ended December 31, 2012 and 2011, respectively.

The Company has a net operating loss carryover of $19,687,933 at December 31, 2012 to offset future income tax. The net operating losses expire as follows:

December 31,	
2024	$ 1,152,418
2025	1,917,800
2026	1,663,944
2027	1,475,037
2028	1,216,483
2029	1,473,225
2030	2,609,399
2031	2,330,305
2032	5,849,322
	$ 19,687,933